

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 649

BY BUSINESS COMMITTEE

AN ACT

RELATING TO MONEY OF ACCOUNT AND INTEREST; AMENDING CHAPTER 22, TITLE 28, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 28-22-103, IDAHO CODE, TO PROVIDE FOR INTEREST RATES TO BE ALLOWED BY AGREEMENT; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 22, Title 28, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 28-22-103, Idaho Code, and to read as follows:

28-22-103. INTEREST RATE ALLOWED BY AGREEMENT. (1) Parties may agree in writing to the payment of any rate of interest and fees that do not exceed the greater of thirty percent (30%) or an amount that is ten (10) percentage points per year above the prime rate published by the federal reserve system in its statistical release, H.15 selected interest rates, for bank prime loans dated three (3) business days prior to the execution of the agreement. Interest must be allowed according to the terms of the agreement.

(2) A loan agreement that is not usurious when made is lawful for the duration of the loan provided that the loan agreement is not substantially changed. This subsection shall not apply to loan renewals.

(3) The provisions of this section shall not apply to a regulated lender, as defined in section 28-41-301, Idaho Code.

SECTION 2. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.